Lecture 6: Institutions and Institutionalisms (AUW)

Political Science — Master Notes · by Jakob V. Stangel

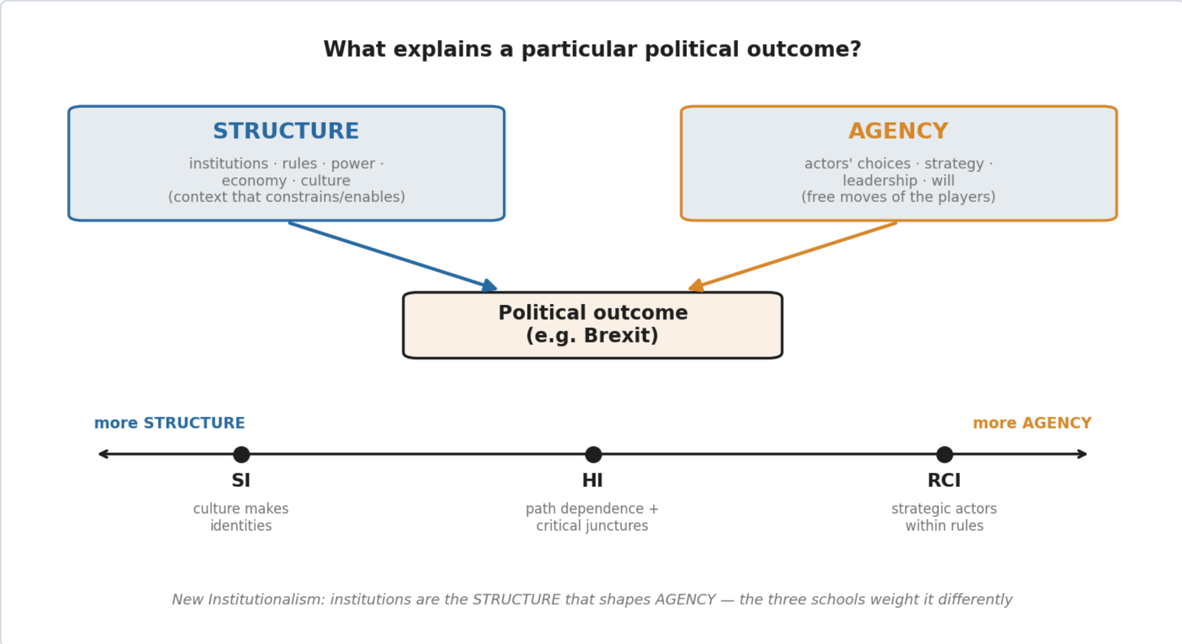
Required reading: Hall & Taylor (1996), *Political Science and the Three New Institutionalisms* · Busemeyer & Thelen (2020), *Institutional Sources of Business Power* (an HI example)

Theme of the lecture: the role of **institutions and structures** in political processes — how institutions **shape the behaviour of political actors**, and what drives institutional **change vs continuity** — focusing on the **rational-choice (RCI), historical (HI), and sociological (SI)** variants of **New Institutionalism** (with **path dependence** and **institutional legacies** as central concepts).

Lecture frame (AUW) — the essentials before the three schools

***Core:* institutions ≠ organizations.** Institutions are the **rules/norms that enable or constrain actors**; organizations are **groups of actors**. *(Ayca's example: the **Social Democratic Party** is an organization; the constitutional & legal rules, its internal statutes, and the unwritten norms governing it — e.g. can an MP defy the leadership and keep their job? — are institutions.)*

- **The grand debate it enters: structure vs agency** — *what explains a **particular political outcome**?* (the deck's opening question). Two pure answers:
  - **Structure** = the **context that shapes action** — institutions, rules, laws, social & economic structures, distributions of power, culture. On this view an outcome is driven by the **situation actors are in** (the "board and rules of the game"); actors are almost **carried along** by their environment.
  - **Agency** = the **capacity of actors to choose and act** independently — strategy, leadership, will. On this view an outcome is driven by **what particular people decided to do** (the "players' free moves").
  - *Why it matters:* explain **Brexit** (or any outcome) and you're implicitly taking a side — was it the deep **structures** (Britain's institutional history, its economy, EU rules) or the **agency** of key actors (Cameron calling the referendum, Johnson/Farage campaigning)? Pure structure = actors are dupes of context; pure agency = "great men" make history.
  - **New Institutionalism's answer** (the "revised" theory: behavioralism → institutionalist critique → New Institutionalism) is a **middle position: institutions are the key *structure* that *shapes* agency** — they **enable and constrain** actors without fully determining them. And the three schools sit at **different points** on the structure⇄agency line: **SI** most *structural* (culture constitutes actors' identities & preferences → least free agency), **RCI** most *agency* (strategic actors freely maximise *within* the rules), **HI** in between (path dependence & power dominate, but actors act at **critical junctures**).



How to read it (the deck's opening framing). The **same outcome** (e.g. Brexit) can be explained by **structure** (the constraining context — institutions, rules, power, culture) or by **agency** (what actors chose to do). Institutionalism says it's *both*, with institutions as the structure that channels agency — and the **spectrum** at the bottom is the exam-useful part: **SI** leans most structural (culture makes the actors), **RCI** leans most agency (strategic actors within fixed rules), **HI** sits in the middle (path dependence + critical junctures). Locating a school on this line is how you answer "which weights structure vs agency?"

- **Why study institutions?** They have **profound political consequences** — e.g. electoral system → party system (majoritarian → two-party; PR → multiparty — Lectures 4–5); parental-benefit design → labour-market gender equality.
- **The definition of "institution" *widens* across the three schools** — this is the key organising idea:

School	What counts as an institution
RCI (narrowest)	**"Rules of the game"** — constitutions, laws, regulations, court decisions
HI (middle)	The above **+ procedures, routines, norms, conventions** (how things are done; SOPs)
SI (broadest)	All the above **+ symbol systems, cognitive scripts, moral/discursive templates** — "frames of meaning" (role of the state, national identity, patriarchy, institutional racism…)

Hall & Taylor (1996) — The Three New Institutionalisms

Chapter résumé

Hall & Taylor show that "the new institutionalism" is **not one theory but three** — **rational-choice (RCI)**, **historical (HI)**, and **sociological (SI)** institutionalism — which arose in the 1980s–90s (all reacting against 1960s–70s **behavioralism**) yet developed **independently**, "paint quite different pictures of the political world," and rarely cited each other. They compare the three on **two questions**

fundamental to any institutional analysis: (1) how institutions relate to behaviour, and (2) how institutions originate and change. Their verdict: none is wrong — each captures a **partial** truth — so they call for **cross-fertilisation.**

> ★ **The heart of the reading:** three schools answer the same question — *how do institutions shape political behaviour and outcomes?* — very differently. **RCI**: institutions are rules that structure **strategic interaction** among fixed-preference utility-maximisers ("calculus"). **HI**: institutions distribute **power** unevenly and lock in **paths** over time (eclectic). **SI**: institutions are **cultural frames of meaning** that constitute actors' very identities and preferences ("cultural"). The exam task: fill in the comparison table and use it to build *three competing explanations* for one outcome.

The red thread. Everything reduces to **two cross-cutting approaches** (Hall & Taylor's own device): the **calculus approach** (actors strategically maximise; institutions give certainty about others' behaviour; persist as a **Nash equilibrium**) vs the **cultural approach** (actors interpret via worldviews; institutions provide moral/cognitive templates; persist because **taken-for-granted**). **RCI = pure calculus · SI = pure cultural · HI = both.** For any theory ask: *calculus or cultural — and how does that answer "how do actors behave / what do institutions do / why do they persist"?*

Key concepts / "modes" to use

- **The three schools: RCI · HI · SI** (+ the widening definition of "institution").
- **Calculus vs cultural approaches** — the master framework for *how institutions affect behaviour*.
- **RCI toolkit:** strategic interaction · collective-action dilemmas · gains from exchange · **Nash equilibrium**.
- **HI toolkit: power asymmetries · path dependence · critical junctures · unintended consequences**.
- **SI toolkit:** **frames of meaning** · **logic of appropriateness** · **isomorphism · legitimacy**.

Section-by-section main points

What "New Institutionalism" is — and why it's "*new*"

Core: **New Institutionalism** is the family of approaches (from the **1980s**) holding that **institutions shape political behaviour and outcomes** — reviving institutions as an *explanation* after behavioralism had sidelined them. The single claim uniting all three schools: **institutions are not a neutral backdrop; they structure what actors do** (they then disagree on *how*).

- **Why "New"? — three waves of theory** (the deck's *original → counter → revised* arc):
    - ① **Original theory — "old" institutionalism** (early–mid 20th c.): the **descriptive** study of *formal* institutions — constitutions, legal codes, the machinery of government. Detailed on paper rules, but **static, atheoretical, country-by-country** — it described institutions without explaining behaviour.
    - ② **Counter theory — behavioralism** (1960s–70s): reacted *against* the old school — politics should be a **science of observable behaviour** (attitudes, voting, opinion), explained by

individuals and informal processes. Institutions were demoted to **epiphenomena** — just the *aggregate* of individual choices, so the formal rules "don't really matter."
    - ③ **Revised theory — New Institutionalism** (1980s–90s): **brings institutions back in** — but *revised*. It concedes the behavioralist focus on action, yet insists institutions **actively shape and constrain** that action and its outcomes (not merely describe it). "Institutions back in, now doing real explanatory work" is what makes it **New**. *(This is also the structure⇄agency answer: institutions are the structure that channels agency.)*
- **What New Institutionalism studies — institutions, through three guiding questions** (deck):
    - ① **What do institutions look like?** — e.g. **Danish labour-market rules** ("flexicurity" — flexible hiring/firing + strong welfare security); **post-conflict peace-building** institutions (truth & reconciliation commissions in **Rwanda, South Africa**).
    - ② **What similarities & differences do they show across contexts?** — e.g. **neocorporatism in Sweden vs Germany**; **presidentialism in the US vs Brazil** (same type, different workings — Lecture 4).
    - ③ **Why do they show those similarities/differences across time & space?** — the question the **three schools answer differently** (RCI vs HI vs SI). *Today's reading is exactly this move:* why does **privatisation of education take three different forms** in Germany, Sweden and the USA (Busemeyer & Thelen)?
- **The pay-off for the rest of the lecture:** all three schools **agree** institutions matter and shape behaviour; they then **split two ways** — on *how* institutions work (**calculus vs cultural**) and on *what even counts* as an institution (the widening definition above). Those two splits generate the three schools below.

The two archetypes — calculus vs cultural

Core: any institutionalism must answer three questions — *how do actors behave? what do institutions do? why do they persist?* — and there are two archetypal answer-sets.

In plain terms: the **calculus** side sees people as **calculators** (institutions are the rules that make deals work); the **cultural** side sees people as **role-players** following scripts (institutions are the shared meanings that tell us what's "done"). This one split is the engine of the whole lecture — **RCI = pure calculus, SI = pure cultural, HI = both.**

	Calculus approach (→ RCI)	Cultural approach (→ SI)
How do actors behave?	Instrumental, strategic **utility-maximisers**; preferences given **exogenously**	Behaviour **bounded by a worldview**; **satisficers**; choice depends on *interpretation*
What do institutions do?	Provide **certainty** about others (information, enforcement); shape **expectations**	Provide **moral/cognitive templates**; shape **identities & preferences** themselves
Why do they persist?	They're a **Nash equilibrium** — deviating makes you worse off	**Taken-for-granted**; one actor can't change a collective convention

HI is eclectic — it uses *both*.

★ The three institutionalisms compared *(the exam table — from the screenshot)*

Core: memorise this. To answer "why did outcome X happen?", read *across a row* for three competing explanations.

Dimension	Rational Choice (RCI)	Historical (HI)	Sociological (SI)
Definition of institutions	Rules/procedures that structure **strategic interaction** (narrow)	Formal/informal **procedures, routines, norms, conventions** embedded in the polity/economy (tied to organizations)	**Symbol systems, cognitive scripts, moral templates —** "frames of meaning" (dissolves the institution/culture line)
Example they study	**US Congress** (committees, rules of procedure)	**Cross-national public policy** (welfare states, labour, corporatism)	**Organizational forms & their diffusion** (why education ministries worldwide look alike)
Institutions ↔ behaviour	**Calculus**	**Eclectic** (both)	**Cultural**
How do actors behave?	Fixed **exogenous preferences**; instrumental, strategic maximisers	Both strategic *and* worldview-shaped (strategies can **ossify into worldviews**)	Socially-constituted interpreters; **"logic of appropriateness"** — what's "rational" is itself socially constituted
What do institutions do?	Structure strategic interaction; provide info/enforcement → reduce uncertainty, enable **gains from exchange**; solve **collective-action problems**	**Structure conflict** — privilege some interests, demobilise others; distribute **power unevenly**	Confer **meaning & legitimacy**; constitute actors' **identities & preferences**
Why do they persist?	They're a **Nash equilibrium** (deviation costs you)	**Path dependence** — groups develop interests "costly to shift"	**Taken-for-granted**; can't be changed by one individual
How/why do they change?	Deductive; **voluntary agreement** / competitive selection *(weak on change — the "equilibrium paradox")*	**Critical junctures** (crisis/war) → **branching points**; otherwise path-dependent	Adopt new **templates for legitimacy** (not efficiency); **borrowing/diffusion**; can even be *dysfunctional*
Particular focus	Strategic interaction; collective-action dilemmas; gains from exchange	**Power asymmetries; path dependence; unintended consequences; ideas**	**Legitimacy; culture; isomorphism**
Key concepts	transaction costs, principal–agent, Nash equilibrium, gains from exchange	path dependence, critical junctures, unintended consequences, "mobilization of bias"	frames of meaning, cognitive scripts, logic of appropriateness, isomorphism
Hall & Taylor's critique	**Thin/"simplistic" motivation**; exogenous preferences; **functionalist** origins	Vague on the **precise causal mechanism**; too **inductive**	**"Bloodless"; "action without agents"**; misses **power**

Rational Choice Institutionalism (RCI) — the "calculus" school

Core: institutions are the **rules of the game** that let self-interested players strike deals they otherwise couldn't trust each other to keep — and they last because **breaking them would leave you worse off.**

- **In plain terms:** everyone is out for themselves and constantly *calculating*. Left alone, people get stuck in situations where they'd *all* be better off cooperating but nobody trusts anyone else to do their part. Institutions are the **rules that make cooperation pay**, so people follow them.
- **Where it came from — the US Congress puzzle** (this is *why* the school exists): plain rational-choice theory predicted Congress could never pass stable laws. Legislators want different things on many issues, so any bill should be beaten by a new majority — endless "**cycling.**" Yet Congress *does* produce stable legislation. **Why?** Because its **rules** structure the game: agenda control limits which options get voted on, committees carve up jurisdiction, and enforcement makes **logrolling** (vote-trading) deals stick. Those rules **lower the "transaction costs" of doing deals** and let legislators capture "**gains from exchange.**" → *institutions solve the collective-action problems that would otherwise paralyse a legislature.*
- **Its four defining assumptions:**
  1. **Fixed preferences + strategic maximising.** Actors have a set menu of wants and act instrumentally to get as much as possible, via extensive calculation.
  2. **Politics = collective-action dilemmas.** Individually rational choices often produce a **collectively bad** result (classic images: the **prisoner's dilemma**, the **tragedy of the commons**) — unless an institution guarantees others will cooperate too.
  3. **Strategic interaction is central.** What you do depends on **what you expect others to do**; institutions shape those expectations by supplying **information + enforcement** that cut the uncertainty about everyone else.
  4. **Origins explained by function.** An institution exists *because of the value it delivers* to those who set it up — created by **voluntary agreement**, or selected because efficient forms **out-compete** rivals.
- **Borrowed toolkit:** the "new economics of organization" — **transaction costs** (Williamson), **property rights**, **principal–agent** (how "principals" monitor and enforce compliance on their "agents," e.g. Congress over regulatory agencies).
- **Why institutions persist — a *Nash equilibrium*** (*in plain terms:* a settled situation where **no one can do better by breaking ranks alone**, so everyone sticks with it).
- **Best at:** precise, generalisable theory; and above all **explaining why institutions *persist*.**
- **Weak at — origins & change.** Three linked charges: **functionalist** (you can't read an institution's origins off its *effects* — **unintended consequences are everywhere**); **intentionalist** (assumes founders foresaw those effects — "heroic prescience"); **voluntarist** (treats creation as equals freely contracting, **ignoring power asymmetries**). Plus the **equilibrium paradox:** if the status quo is *already* a Nash equilibrium, why would anyone agree to change it? (RCI needs a better theory of *dynamic* equilibria.)
- **Exemplars:** US Congress — **Shepsle, Weingast**; **Cox & McCubbins** (parties, not just committees); **Ostrom** (common-pool resources); **North** (economic institutions); **Tsebelis** (EU reform).

Historical Institutionalism (HI) — power + path dependence

Core: institutions **hand power to some groups and not others**, and early choices push a country down a **path** that gets costly to leave — so big change waits for rare crisis moments (**critical junctures**).

- **In plain terms:** history matters, and the playing field is **tilted**. The rules a country built long ago give some groups the upper hand and lock the country onto a track. You mostly stay on that track — until a shock (war, economic crisis) forces a switch.
- **Where it came from:** reacted against 1960s **group theory** and **structural-functionalism** (plus a neo-Marxist debate) → brought the **state** back in as an actor that *structures* group conflict rather than neutrally refereeing it. Most HI work = **cross-national comparisons of public policy** (welfare states, tax, labour movements).
- **What counts as an institution (a middle-width definition):** the **formal *and* informal procedures, routines, norms and conventions** embedded in organisations — from a constitution's rules to a bureaucracy's standard operating procedures to the conventions governing unions or bank–firm relations.
- **Its four features:**
  1. **Eclectic on behaviour — uses *both* calculus and cultural approaches.** Sometimes actors strategically calculate (Immergut: doctors' groups compromise or not depending on where they can appeal a decision); sometimes strategies "**ossify over time into worldviews**" that then shape identities (Hattam: US vs British unions developed different outlooks).
  2. **Power asymmetries (its signature move).** Institutions **distribute power unevenly** — they give some groups **disproportionate access** to decisions and "structure conflict to privilege some and demobilise others." So HI stresses that **some groups win while others lose** (this is the *2nd and 3rd faces of power* from Lecture 1). *(Steinmo on tax; Weir on which coalitions can form.)*
  3. **Path dependence + unintended consequences.** *In plain terms:* the *same* pressure produces *different* results in different countries because each inherited a different institutional track. Past policy leads groups to organise, adopt identities and build interests that become "**costly to shift**" → **lock-in**. Change is bunched at **critical junctures** — crisis/war moments that open a "**branching point**" onto a new path; between them, continuity rules. **Acknowledged weakness:** HI is weak on explaining *what triggers* a critical juncture in the first place.
  4. **Ideas belong in the causal chain.** Institutions aren't the *only* cause — ideas matter too (Goldstein: US institutions amplified some trade ideas over others; Weir: institutions set the *timing* of when Keynesian ideas caught on).
- **Why institutions persist — *path dependence / lock-in*** (*in plain terms:* the longer you're on a track, the more expensive it becomes to reverse, so you don't).
- **Best at:** the **most "commodious," realistic** school — the **bridge/pivot** between RCI and SI (its arguments translate into RCI terms yet open toward SI).
- **Weak at:** pinning down the **exact causal mechanism** (the price of being eclectic); and it leans so heavily on **induction** (digging through the historical record) that it's been **slow to build systematic, generalisable theory.**
- **Exemplars: Immergut** (health-care reform), **Steinmo** (tax), **Hattam** (US labour), **Skocpol** (welfare states & state capacity), **Thelen** (how institutions evolve). *(The school **Busemeyer & Thelen** exemplify — see below.)*

Sociological Institutionalism (SI) — culture & legitimacy

Core: institutions are **cultural frames of meaning** — the scripts, symbols and "done things" of social life — that shape not just what actors *do* but **who they think they are and what they want**; organisations adopt practices to look **legitimate**, not to be efficient.

- **In plain terms:** we do most things because they're "**the normal, proper way,**" not because we've calculated they pay off. Institutions *are* culture — they hand us the mental **scripts** for what's even thinkable, and organisations copy the **respectable** forms to fit in, **even when those forms don't actually work well.**
- **Where it came from: organization theory** in sociology (late 1970s). It challenged the Weberian assumption that organisations look alike because that's the **most efficient** design. Its counter-claim: the striking sameness across firms, schools and ministries is **culturally transmitted** — forms spread like "myths and ceremonies," adopted because they're **legitimate**, not because they're efficient.
- **Its three features:**
  1. **A very broad definition of "institution."** Not just rules and norms, but **symbol systems, cognitive scripts and moral templates** — the "**frames of meaning**" that guide action. This **dissolves the line between "institutions" and "culture"** (the *cognitive turn:* culture is a web of scripts and templates, not just warm attitudes/values).
  2. **How institutions shape action — the *cognitive* view.** They supply the scripts and categories you need to **interpret the world at all**; they specify not just what you *should* do but **what you can even imagine doing.** So institutions shape actors' **identities and preferences themselves** — not just constrain pre-set preferences. People act by a "**logic of appropriateness**" (*in plain terms:* asking "what fits my role / what's the done thing here?" rather than "what's my biggest payoff?"). Even what counts as "rational" is **socially defined** — people act to **express who they are appropriately**, not only to grab material gain.
  3. **Origins & change = legitimacy, not efficiency.** An organisation adopts a practice because it's **valued in the wider culture** and makes the organisation look legitimate — **even if the practice is *dysfunctional*** for its real goals (Campbell: a *logic of appropriateness* vs a *logic of instrumentality*). *Where legitimacy comes from:* the **regulatory state** (by fiat), **professions** (professional standards), **discussion networks/forums** (shared "cognitive maps" of best practice), and transnational ideas of "**modernity**"/"**development.**" *(Fligstein: firms diversified because it became the valued thing in managers' professional circles; Soysal: immigration policy followed international **human-rights** norms of what's appropriate, not what was functional.)*
- **Isomorphism** (*in plain terms:* organisations in the same field **coming to look identical** — same forms, procedures, symbols — by copying the legitimate template "regardless of local conditions").
- **Why institutions persist — *taken-for-granted.*** They're so obvious no one questions them, and **no single person can change a collective convention** on their own.
- **Best at:** meaning, legitimacy, identity — and the **inefficiencies RCI can't explain** (the classic point: you still **stop at a red light with no one around** — hardly a payoff-maximising move). It even explains where RCI's "given" preferences *come from*.
- **Weak at: power & agency** — critics call it "curiously **bloodless**"; it can miss the **power struggles** in institutional change and end up looking like "**action without agents.**"

- **Exemplars: Meyer & Rowan** ("myth & ceremony"), **DiMaggio & Powell** (isomorphism / the "organizational field"), **March & Olsen** (logic of appropriateness), **Dobbin, Fligstein, Soysal**.

Change vs continuity — each school's answer *(AUW's deck; the Brexit test)*

Core: take one outcome (e.g. **Brexit**) and give **three competing explanations** — one per school.

Image: Bloomberg

How to read it (the Brexit outcome the three schools explain). The 2016 referendum: **72.2% turnout**, **51.9% Leave vs 48.1% Remain** — razor-thin — with the district map showing a **geographic split** (Scotland, London & N. Ireland Remain-blue; most of England & Wales Leave-pink). This single result is the *explanandum*: **RCI** reads it as actors' cost–benefit calculus and interests, **HI** as path dependence hitting a critical juncture, **SI** as a clash of identities/paradigms — same fact, three lenses.

School	Explains CHANGE by…	Explains CONTINUITY by…
RCI	disrupted equilibrium; actors' **interests** (utility-max, cost–benefit); strategic action; **few veto players** (or in agreement)	policy **equilibrium**; **many veto players** (or in disagreement)
HI	**critical junctures**; unintended consequences; powerful **agenda-setters**; institutional inertia	**path dependence**; **policy lock-in**; institutional power vested in key actors
SI	**societal shifts** (materialism→post-materialism); a new **economic paradigm** (Keynesianism→neoliberalism); IR shift (multilateral→unilateral)	deep **taken-for-granted** structures; **national identities**; nested power structures

★ Worked example — the three schools explain **Brexit**

Core: the exam move is to take **one outcome** and give **three competing explanations**. None is "the" answer — each spotlights a different driver, and they're strongest *combined*. Each school's Brexit account, developed:

① RCI — Brexit as strategic actors pursuing interests. Institutions are rules that structure the strategic game; the outcome is the aggregate of **cost–benefit calculations** by utility-maximisers.

- **Elite gamble: Cameron** called the 2016 referendum as a *rational* move to manage his own party — buy off Eurosceptic backbenchers and kill the **UKIP** threat — **expecting Remain to win**. A calculated bet (that misfired: unintended consequence, but the *decision* was strategic). Leave elites (**Johnson, Gove**) likewise made career-maximising bets.
- **Voters as calculators:** those who read themselves as **economic losers** from EU membership/immigration (job & wage competition, strained services) found Leave in their interest; **winners** (London finance, exporters reliant on the single market, the highly educated) voted Remain.
- **Rules of the game:** a **binary referendum stripped out the usual veto players** (parliament's equilibrium was bypassed), so a bare 51.9% majority could flip policy.
- *Blind spot:* takes preferences as **given** — it can't say *why* so many Britons wanted "out."

② HI — Brexit as a critical juncture releasing a path-dependent tension. Institutions distribute power and **lock in paths**; big change needs a **critical juncture**.

- **Path dependence:** Britain was always the "*awkward partner*" — it **stayed out of the founding EEC (1957)**, joined **late (1973)**, then negotiated **opt-outs** (no euro, no Schengen, the budget rebate). Forty years of *half-in* membership + a sovereign **Westminster** tradition jealous of pooled sovereignty + a Eurosceptic press kept **exit latent** on the path.
- **Critical juncture + timing:** the referendum landed at a specific conjuncture — **post-2008 austerity** and the **2015 refugee crisis** — that gave Leave its opening; Cameron's **2015 election pledge** (itself an unintended consequence of earlier intra-party moves) set the branching point.
- *Blind spot:* strong on *why Britain / why now*, weak on the **precise decision mechanism** on the day.

③ SI — Brexit as a clash of identity frames. Institutions are **cultural frames of meaning** that constitute identities; people act by the **logic of appropriateness**, and change = a shift in the taken-for-granted paradigm.

- **Identity, not calculation:** Leave mobilised a **national-sovereignty identity** ("**take back control**") against a **cosmopolitan, pro-European** one — the deep split was **older/less-educated/"left-behind" towns vs younger/urban/university-educated**. Voting Leave *expressed who people felt they were.*
- **Cultural backlash / values shift** (Norris & Inglehart): a **materialist→post-materialist** realignment in which **cultural identity trumped economic interest** — for a certain British self-understanding, being governed from Brussels simply wasn't "appropriate" to *being British*.
- *Blind spot:* strong on **meaning/identity**, weak on **power and strategic agency** (who engineered the vote).

> **Putting them together (cross-fertilisation).** They're complementary: **HI** explains *why Britain and why 2016* (the path + juncture), **SI** explains *why the identity cleavage existed to be mobilised*, and **RCI** explains *why Cameron gambled and how interests aggregated into 51.9%*. That's the model answer — locate each on the structure⇄agency spectrum (SI most structural → RCI most agency) and show how the three combine.

Hall & Taylor's conclusion — cross-fertilise

Core: each school reveals a **genuine but partial** dimension of behaviour, so they should **borrow from each other** rather than stay in isolation.

- Who does what: **RCI** = precision & persistence (weak on motivation/change); **HI** = power & history (weak on mechanism); **SI** = meaning & legitimacy (weak on power/agency). HI is the **bridge** — its arguments translate into RCI terms yet open toward SI (actors pick institutions strategically, but "from a menu made historically available").
- **Emerging syntheses they cite: Kreps** (corporate culture as an efficient supplement to monitoring); **Garrett & Weingast** (norms/ideas as "**focal points**" that select among multiple equilibria); **Scharpf** ("decision rules" [incentives] + "decision styles" [beliefs about appropriate behaviour]); **Bates & Weingast** (strategic interaction as **signalling games** needing cultural context). *(Caveat: they don't claim a full synthesis is yet possible — "there is much to be said for tenacious debate.")*

Key terms

Term	Meaning
Institution vs organization	Rules/norms that constrain actors vs groups of actors
Calculus vs cultural approach	Strategic maximising vs interpretation-by-worldview
RCI / HI / SI	Rational-choice / historical / sociological institutionalism
Nash equilibrium	Why institutions persist for RCI (deviation costs you)
Collective-action dilemma	Individually rational, collectively bad (RCI's image of politics)
Path dependence	Past choices lock development onto costly-to-reverse paths (HI)
Critical juncture / branching point	Crisis moment when big institutional change sets a new path (HI)
Unintended consequences	Ubiquitous — why you "can't deduce origins from consequences"
Mobilization of bias	Institutions distribute power unevenly (HI)
Logic of appropriateness	Act on what's socially appropriate, not calculation (SI)
Isomorphism	Organizations in a field converge on the same form (SI)
Frames of meaning	Symbol systems/scripts that constitute action (SI's institutions)

Exam pointers

- Reproduce the **RCI/HI/SI comparison table** — the exam's whole point (Ayca's table).
- Nail **institution ≠ organization** and the **widening definition** (RCI rules → SI frames of meaning).
- Use the **calculus vs cultural** distinction to explain *how* each school links institutions to behaviour.
- Run the **change-vs-continuity table** on one outcome — see the **worked Brexit example**: **three competing explanations** (RCI strategic gamble/interests · HI critical juncture/path dependence · SI identity-frame clash), then combine them.
- Know each school's **signature critique** (RCI thin motivation · HI vague mechanism · SI bloodless/no power).

Busemeyer & Thelen (2020) — Institutional Sources of Business Power *(an HI example)*

Chapter résumé

An **exemplary Historical-Institutionalist study**: where does **business power** come from? The standard split is **structural** power (business's privileged position as investor — the exit/investment threat) vs **instrumental** power (lobbying, donations). Busemeyer & Thelen add a third, **institutional business power** — power that "results when state actors **delegate public functions to private business actors**" and, "over time, through **policy feedback and lock-in effects**," produces an **asymmetrical dependence of the state on business.** They prove it in **education/skill formation** (a "quintessentially public" area where you'd *least* expect business power) across **Germany, Sweden, and the USA.**

> ★ **The heart of the reading:** business power isn't a fixed feature of capitalism — it's **built by institutions over time**. Once the state hands parts of a public service to private actors, **policy feedback + lock-in** make the state **dependent** on them and the change **near-impossible to reverse.** This is *classic HI*: **power asymmetries compounding through path dependence.**

Section-by-section main points

The argument — a third kind of business power

Core: to structural + instrumental power, add **institutional business power** — endogenous to **past policy-design choices**, not a generic feature of capitalism.

- **Three types: structural** (investor's exit threat — Lindblom) · **instrumental** (lobbying/donations) · **institutional** (entrenched role in delivering a **public function**). They act as "**communicating vessels.**"
- **Two conditions** set how strong institutional power is: **(1) the credibility of business's exit threat** and **(2) the depth of state dependence** (has the state lost the capacity to provide the service itself?). Both high → power strongest.
- Once entrenched, institutional power grants business insider "**quiet politics**" access (Culpepper) — so it needs far less *overt* lobbying. The three cases are deliberately "**most different**" (Esping-Andersen's three welfare worlds × Hall & Soskice's *varieties of capitalism*) to show a **common dynamic despite maximally different systems.**

Three mechanisms → three countries

Core: the *same* dynamic (state shares a public function → feedback entrenches business → lock-in) plays out three ways across maximally different systems.

Country	Mechanism	What happened
Germany	**Delegation**	state consciously shares regulatory space with employers (dual apprenticeship training)
Sweden	**Deregulation**	state retreats from provision (school **vouchers** / for-profit "free schools")
USA	**Accretion**	private actors *invite themselves in* (venture philanthropy, charter schools)

- **Germany — Delegation (dual vocational training).** Firm-based apprenticeships rest on **employer voluntarism** (~500,000 youths/year, ≈ the number entering university). **Highest** institutional power: both state dependence *and* exit threat are high. Twice (**1970s**; **red–green 1998**) governments floated a statist **training levy** + school-based alternative; both times employers threatened to cut training places and the government **backed down** — and by the 2000s **unions & Social Democrats had *reversed*** to defending firm-based training (preference **conversion via feedback**). → *Delegation + lock-in + preference change = HI.*
- **Sweden — Deregulation (school vouchers).** Early-1990s reforms broke a near-total **public monopoly**; public money now funds private "independent" schools. By 2014 **ten corporations held 30% of the market** (biggest: AcadeMedia, owned by VC firm EQT); ~85% of voucher schools are **for-profit** — a "welfare-industrial complex." The **2016 Reepalu** profit-cap proposal died after providers threatened to shut down; Reepalu himself: "*we'd be in an easier situation if this had been introduced twenty years ago*" (**lock-in spoken aloud**). → *Deregulation + self-reinforcing feedback (even unions flipped pro-privatisation).*
- **USA — Accretion (venture philanthropy & charters).** Wealthy donors (**Gates, Broad, Walton**) "invite themselves" into education, funding charter schools/CMOs. **High exit threat, lower state dependence** (private funds *supplement*). Charters ≈6% of US enrolment but **~95% in post-Katrina New Orleans; Gates ranked the most influential individual in US education policy — ahead of the Secretary of Education.** In the 2014 de Blasio vs **Eva Moskowitz** fight, Walton-funded groups bused parents to Albany and Gov. Cuomo vowed "*We will save charter schools!*" → *Accretion — instrumental power converting into entrenched institutional power.*

Why it's HI — and how RCI/SI would differ

- **HI hallmarks: power** runs through the whole study (asymmetric state↔business dependence tilting "over time"); **historical legacies** (each country a longitudinal narrative); **path dependence & lock-in** ("reclaiming lost territory becomes more difficult over time"); **policy feedback**; **critical junctures** (German 1982 government change; **Hurricane Katrina** enabling New Orleans's charterisation).
- **RCI would say:** business power = a credible **exit/holdup threat** in a principal–agent game; delegation persists because it's **efficient** (lowers state costs) — but static RCI misses the *temporal tilt* and the change in actors' preferences.
- **SI would say:** private provision spreads because it becomes **legitimate/taken-for-granted** (Germans see employer involvement as "an asset"; Swedes internalise "free choice"; Gates's role "taken for granted") — an NPM/"choice" **template diffusing** (isomorphism) — but SI under-weights the raw **power** the authors foreground.

Exam pointers

- Use this as your **worked HI example**: name the mechanism per country (**Delegation/Germany · Deregulation/Sweden · Accretion/US**) and show **power + path dependence + lock-in**.
- Define **institutional business power** vs structural vs instrumental, and its **two conditions** (exit threat + state dependence).
- Be ready to **re-explain the same outcome in RCI and SI terms** (Ayca's exercise).

Informal institutions *(AUW coda)*

***Core:* informal institutions** = the "informal rules of the game" — "*socially shared rules, usually unwritten, created, communicated and enforced outside officially sanctioned channels.*" They can matter as much as formal ones (esp. in weak states) — and are **not necessarily undemocratic.**

- **Examples: *dedazo*** ("big finger", Mexico — the outgoing PRI president secretly picks his successor) · ***amakudari*** ("descent from heaven", Japan — retired bureaucrats get corporate jobs) · **clientelism** (Peronist Argentina). *Not* undemocratic: the **folkways of the US Senate** (Matthews 1959 — apprenticeship, courtesy, reciprocity, specialisation); pre-Erdoğan Turkish university-rector elections.

★ Fun facts & memorable details

> Sticky bits from Lecture 6 (institutions & institutionalisms).

Quotable

- The framing line: "*political science today is confronted with not one but three 'new institutionalisms.'*"
- **SI's best point** (why we're not just calculators): "*anyone who has waited at a traffic light when no one else was around*" has to admit institutions work non-instrumentally too.
- **RCI's key logical error** (Hall & Taylor): "*one cannot safely deduce origins from consequences*" — because unintended consequences are everywhere.
- SI critique in three words: "*action without agents.*"
- **Reepalu (Sweden):** "*We'd be in a somewhat easier situation if much of what we're proposing had been introduced some twenty years ago*" — path dependence, out loud.
- **Cuomo (US):** "*We will save charter schools!*"

Memorable

- The three schools "developed **quite independently of each other**," each "assiduously burnishing its own paradigm" — a paper about theories that ignored each other.
- **Germany: ~500,000** start firm-based apprenticeships each year — about the same as start university.
- **New Orleans** after Katrina: **~95%** of children in charter schools — the highest of any US city.
- **Bill Gates** was ranked the **single most influential individual in US education policy — ahead of the Secretary of Education** (who, at the time, was herself a venture philanthropist).

- **Institution ≠ organization:** the Social Democratic *Party* is the organization; the rules and unwritten norms governing it are the *institutions* — the distinction the whole lecture turns on.

PART II · INTERNATIONAL RELATIONS